where the traditional system falls short and how the blockchain solution elegantly addresses these issues.

Table 7.1 Traditional banks vs. blockchain payment channels

Traditional banking system	Blockchain payment channel
Account creation --For millions of people, it is impossible to open an account in the traditional banking system due to a lack of credentials, such as a job or a home address.	Blockchain is built on this very concept of account-based identity and peer-to-peer interaction between unknown participants. It can facilitate quick account (digital identity) creation.
Small payments --Payment amounts involved may be too small to warrant account creation.	Blockchain by design naturally supports online digital micropayments.
Check-cashing fees --Payment in regular checks for every collected bin of plastics may generate numerous checks, and check-cashing fees may be higher than the payments.	The blockchain approach uses a cumulative check-payment approach to address cashing of online digital checks, which helps minimize fees.
Check verification process --Signing checks and signature verification in a traditional system can be cumbersome for a large number of checks.	Blockchain uses hashing and cryptographic functions for automatic digital signature verification at scale.
Account permanency --When an account is opened, it is permanent and not amenable to a casual open-close model, which is suitable for decentralized users.	Blockchain users can join and leave as they wish, and the open-close channel is naturally supported; thus, short-lived channels are a norm.
Cost-effectiveness --It is not cost-effective for a casual decentralized user to create an account for a small payment.	Blockchain naturally supports small payments and casual users.
Agility --A traditional bank account by design is long-running and permanent, and takes considerable time (days) to create.	Blockchain-based payment channels can be opened and closed quickly, and are transient to suit new application models such as MPC.